moneyview

Digital Gold
Secondary Research

2024

Index

1. Digital Gold Overview
2. Industry Overview
3. Market Size and Growth Rate
4. Personas and Target group
5. Competition landscape and category drivers
6. Industry SWOT Analysis
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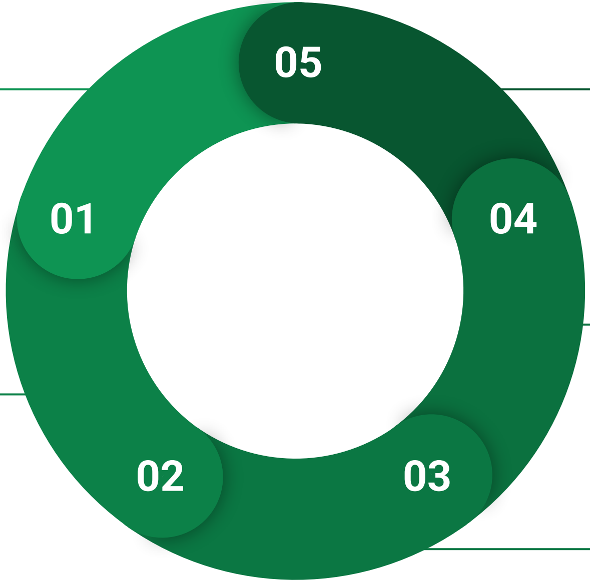
Questions this report will answer

Which regions have the highest scope of expansion?

What is the target audience for Digital Gold and their personas?



Who are the key players in the Indian Digi Gold market?

Where will we get higher returns - Investing in Digital Gold daily vs monthly vs lump sum? Physical Gold vs Digital Gold?

What are the key market drivers of Digital Gold?

1. Digital Gold Overview

What is Digital Gold?

Digital gold refers to the online purchase, sell and storage of gold, providing **an alternative to buying physical gold**. This investment avenue leverages digital platforms, allowing users to **buy, sell, and store gold without physically handling it**. Digital gold platforms typically offer users the ability to **purchase gold in fractional amounts**, making it accessible to a wider audience.

Importance of Digital Gold in Indian Market

Accessibility:

Enables investment in small denominations, broadening access.

Convenience:

Buy/sell gold anytime, no need for physical storage.

Affordability:

Lower minimum investments compared to physical gold.

Transparency:

Real-time tracking of gold holdings.

Security:

Stored in secure vaults, ensuring safety.

Liquidity:

Easy to buy/sell, beneficial during market volatility.

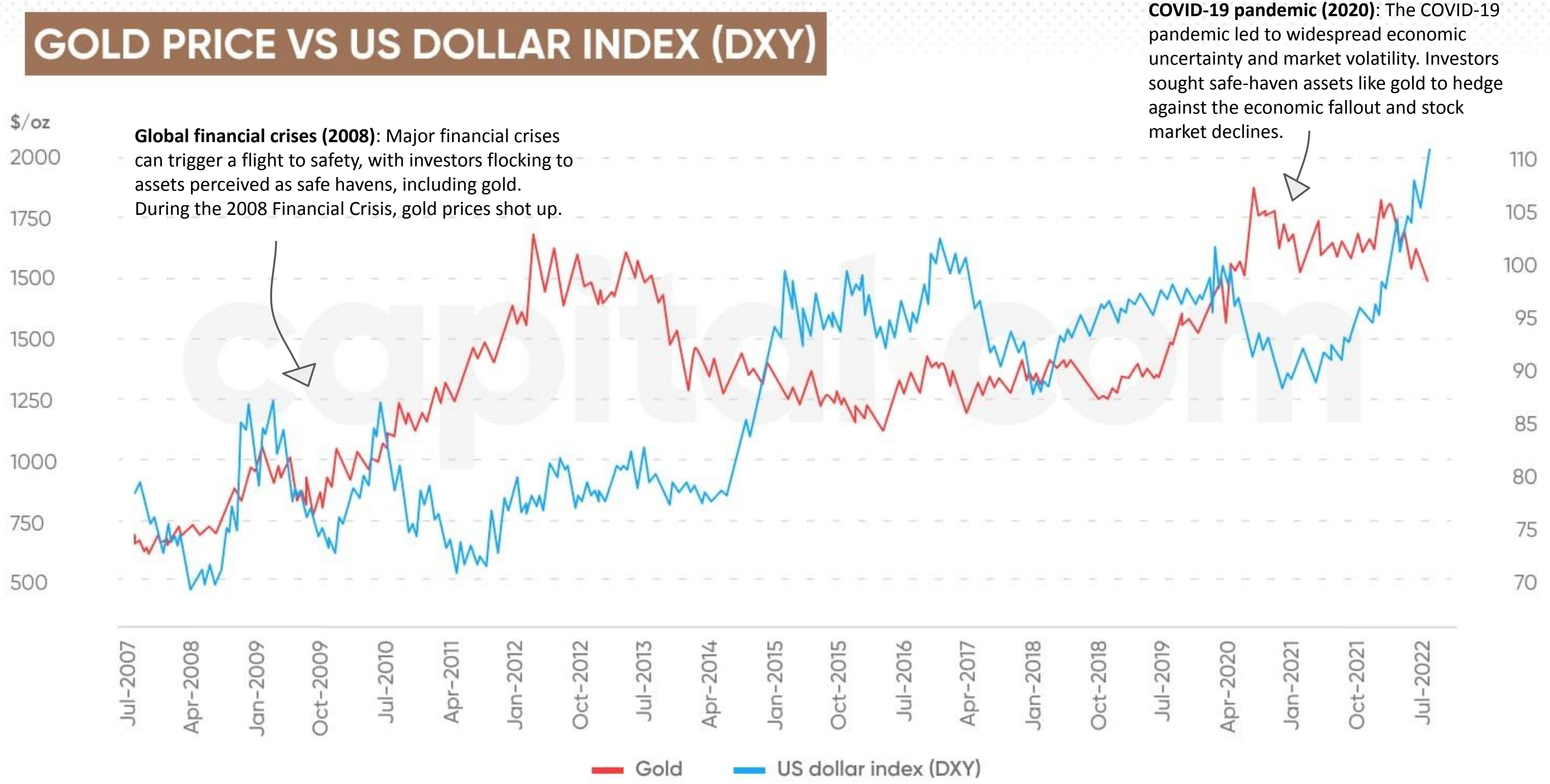
Source - https://www.forbes.com/advisor/in/investing/gold/what-is-digital-gold/

2. Industry Overview

Major historical events that impacted the gold price

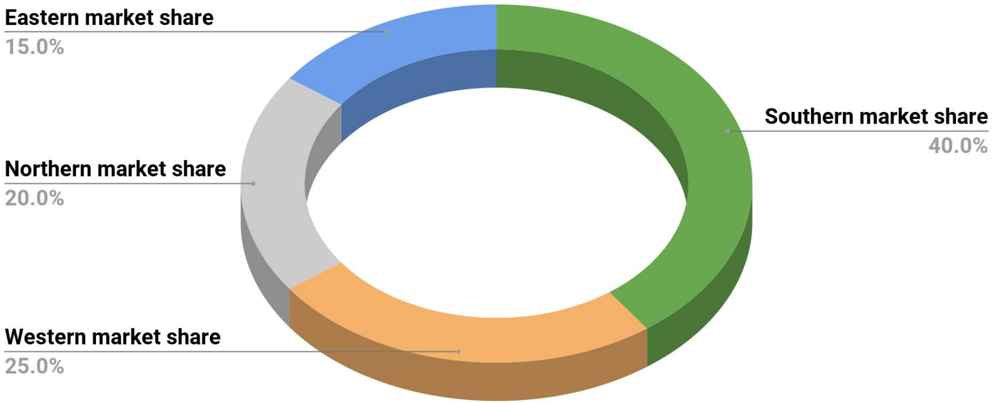
Global financial crises (2008): Major financial crises can trigger a flight to safety, with investors flocking to assets perceived as safe havens, including gold. During the 2008 Financial Crisis, gold prices shot up.

COVID-19 pandemic (2020): The COVID-19 pandemic led to widespread economic uncertainty and market volatility. Investors sought safe-haven assets like gold to hedge against the economic fallout and stock market declines.



Region - Market share of Physical Gold

Southern market holds the largest market share for Physical Gold in India.



South - South India is known for its tech-savvy population and preference for higher education, especially in cities like Bangalore and Hyderabad, which are major tech hubs and Kerala boasting high literacy rates.

North - North India is witnessing a growing tech-savvy population but with variations in education levels across states.

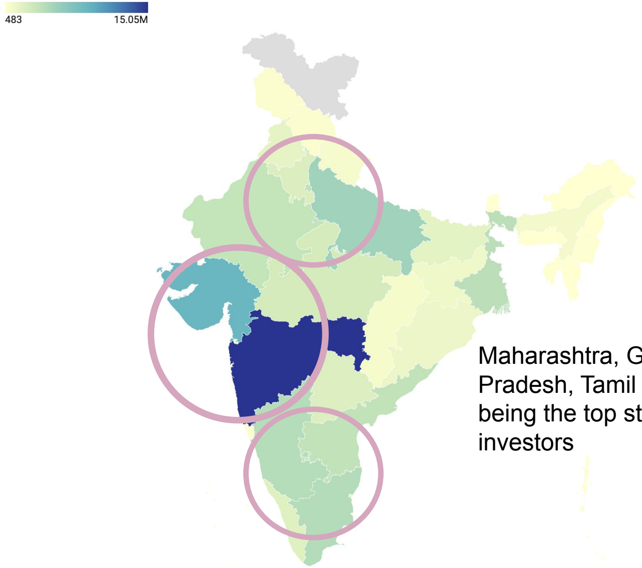
East and West - Although they lag in tech savviness, they are rapidly adopting digital transformation.

This suggests India as a growing market for Digital Gold.

https://www.gold.org/goldhub/research/jewellery-demand-and-trade-india-gold-market-series/17661#:~:text=South%20India%20dominates%20Indian%20gold,over%20the%20past%20few%20decades.

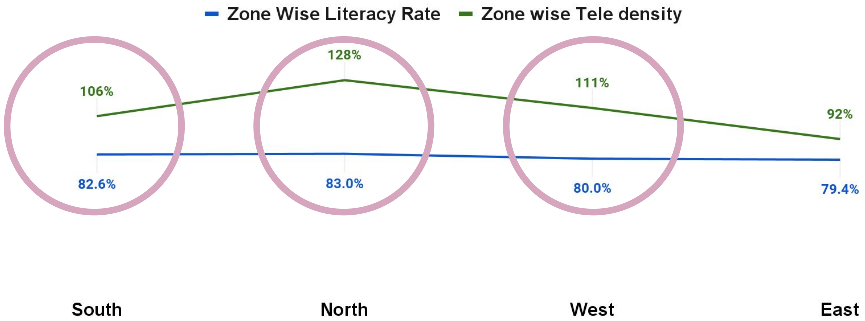
Region - Market share of Gold

Registered Investors with BSE per million population (by states)



Maharashtra, Gujarat, Uttar Pradesh, Tamil Nadu and Karnataka being the top states of online investors

Kerala, Lakshadweep, Mizoram, Delhi and Tripura have the highest literacy rate.



Delhi, Himachal Pradesh, Kerala, Punjab and Tamil Nadu being the top states of smartphone holders.

With increasing literacy rates, people who invest online and smartphone ownership - we see that South followed by West, North are the best regions which we can target as they have highest scope of expansion.

**We have not taken all markets - we took data points of the states available online

https://www.trai.gov.in/sites/default/files/PR_No.53of2022_0.pdf
https://www.moneycontrol.com/news/trends/current-affairs-trends/these-10-states-account-for-nearly-80-of-retail-investors-6998621.html
https://www.geeksforgeeks.org/state-wise-literacy-rate-in-india/#literary-rate-in-india-2023

Key States for Digi Gold

Digital Gold market is dominated by the Southern states.

Maharashtra (Mumbai and Pune)

As financial hubs with a high density of tech-savvy investors, these cities have seen significant adoption of digital gold.

Karnataka (Bangalore)

Known as the tech capital of India, Bangalore's high number of tech professionals and digital payment users make it a prime market for digital gold.

Delhi NCR

With a large population and high economic activity, the National Capital Region is another strong market for digital gold investments.

Tamil Nadu (Chennai)

This city combines traditional gold investment habits with modern digital purchasing options.

Telangana (Hyderabad), Andhra Pradesh

With its growing IT sector, Hyderabad is also emerging as a notable market for digital gold.

Gujarat

A significant portion of the population is involved in business and trade, leading to higher disposable income.

3. Market Size and Growth Rate

Market Size and Growth Rate

Market Size of Digital Gold in India

The digital gold market in India is estimated to be valued at approximately **$2-3 billion** in 2024

India has **5-6 million active users** investing in digital gold. The user base includes a diverse group ranging from tech-savvy young investors to traditional gold buyers who have transitioned to digital formats.

The digital gold market in India is expected to grow at a **CAGR of 20-25%** over the next five years (2024-2029)

Source -
https://koshex.com/digital-gold
https://inc42.com/features/indias-gold-rush-how-startups-are-reimagining-gold-investment-and-lending-landscape/#:~:text=As%20per%20a%20KPMG%20report,investment%20option%20among%20the%20young.

4. Target Group and Personas of Digital Gold

Key Market Drivers

Major drivers for Digi Gold investments in India

- Convenience and Accessibility
- Affordable Investment
- Safety and Security

- Purity and Quality Assurance
- Liquidity
- Portfolio Diversification

https://www.livemint.com/money/personal-finance/digital-gold-in-emerging-markets-what-are-the-opportunities-and-challenges-for-investors-11682182482298.html

Target Group of Digital Gold

Target Audience of Digital Gold in India and their Personas

Urban Millennials and Young Professionals

Convenience and Accessibility

Portfolio Diversification

25-32 (Male/Female)

Single

Metro / Tier 1 / 2 Cities

Salaried professionals with around 5 years of experience

Upto ₹10 lakhs per annum

Tech-savvy
Digitally literate
Looking for convenient investment options

Key Triggers: Seek diversified investment portfolios with easy access to gold as a safe-haven asset.

Prefer digital platforms for financial transactions, including investments.

Traditional Investors Transitioning to Digital Platforms

Purity and Quality Assurance

Liquidity

32-42 (Male)

Mostly married; Kids

Tier 1 / 2 cities

Salaried professional with around 10 years of experience

Upto ₹15 lakhs per annum

Experienced in gold investments but adapting to digital trends

Key Triggers: Maintain cultural affinity for gold while embracing modern investment methods.

Interested in the convenience and security of digital transactions.

Target Group of Digital Gold

Rural and Semi-Urban Population

Affordable Investment

Safety and Security

- 30-40 (Male/Female)
- Married; Kids
- Tier 2/3 Cities
- Self employed business/Small shop
- Low family Income

Key Triggers: Use gold as a form of long-term savings and investment due to cultural significance.

Increasing digital literacy and smartphone penetration.

Seeking risk-free and aspiring to invest their savings.

Middle-Class Families

Affordable Investment

Liquidity

- 34-45 (Male/Female)
- Married
- Non IT professionals in Metro/Tier 1 city
- ₹10 lakhs per annum

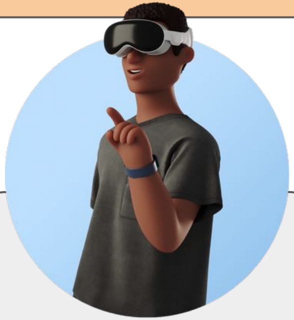
Key Triggers: Safeguard wealth against economic uncertainties, leveraging gold's stability.

Rising disposable incomes and aspirations for financial security.

Looking for stable and reliable investment options.

Target Group of Digital Gold

Tech-Enthusiasts and Early Adopters



24-30 (Male/Female)

Single

Metro / Tier 1 cities

High Income freshers

₹Upto 25 lakhs per annum

Eager to explore new technologies and investment opportunities.

Quick to adopt innovative fintech solutions.

Portfolio Diversification

Convenience and Accessibility

Key Triggers: Interested in the potential benefits of blockchain technology and digital assets.

Target Group of Digital Gold

Understanding moneyview's Target Audience

TG 1 - Users with existing Digital Gold wallets

Value proposition - Caratlane Brand, Get extra 5%

1. **Tech-Savvy**
2. **Investment-Oriented**
3. **Value Stability**
4. **Diverse Portfolio**

Motivations

Ease of Access: Familiarity with the convenience of buying, selling, and storing gold digitally.

Trust in Digital Platforms: Confidence in the digital platforms' security and reliability.

Long-term Wealth Preservation: Seeing digital gold as a stable, long-term investment to hedge against inflation and currency fluctuations.

TG 2 - Users buying jewellery / Gold Bonds / Gold MF / SGBs - but not Digital Gold

Value proposition - Ease of redemption, Get extra 5%

1. **Traditional Mindset**
2. **Cultural Significance**
3. **Less Tech-Savvy**
4. **Long-Term Holders**

Motivations

No Storage Hassle: Eliminates the need for physical storage and associated risks (e.g., theft).

Cost-Effectiveness: Potentially lower costs and better price tracking compared to jewellery due to no making charges or markups.

Convenience and Liquidity: Digital gold offers easier and quicker transactions compared to physical gold and some gold-related financial products.

Target Group of Digital Gold

Understanding moneyview's Target Audience

TG 3 - Users with existing saving products but not gold

Value proposition - Growth potential of Gold, Diversification

1. **Conventional and Risk-Averse**

2. **Moderate Risk Tolerance**

4. **Diversification Within Traditional Assets**

3. **Income Generation Focus**

Motivations

Portfolio Diversification: Digital gold provides an opportunity to diversify into a different asset class.

Inflation Protection: Gold can act as a safeguard against inflation, preserving purchasing power.

Flexible Investment Options: Offers flexible investment amounts and liquidity, making it easier to align with personal financial goals.

TG 4 - Users with recurring balance in their bank account

Value proposition - Growth potential of Gold, Ease of exit, Idle fund

1. **Risk-Averse and Debt-Averse**

2. **Limited Financial Literacy**

3. **Liquidity Preference**

4. **Short-Term Financial Focus**

Motivations

Regular Saving Habit: Allows for the gradual accumulation of wealth through regular small investments.

Low Entry Point: Low minimum investment requirements make it accessible to start investing.

Hedging Against Currency Devaluation: Provides a way to protect savings from potential devaluation or economic instability.

5. Competition landscape and category drivers

Leading Companies in the Indian Digi Gold Market

MAJOR VENDERS

MMTC - PAMP
SafeGold
Augmont

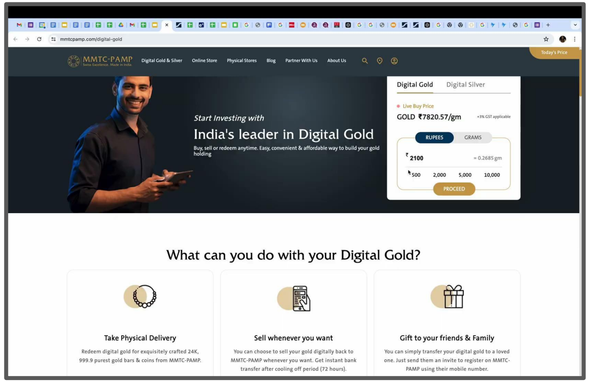
PLATFORMS

PhonePe
PayTm
Jar
Navi
Gullak
Amazon Pay

Major Venders - Competitors

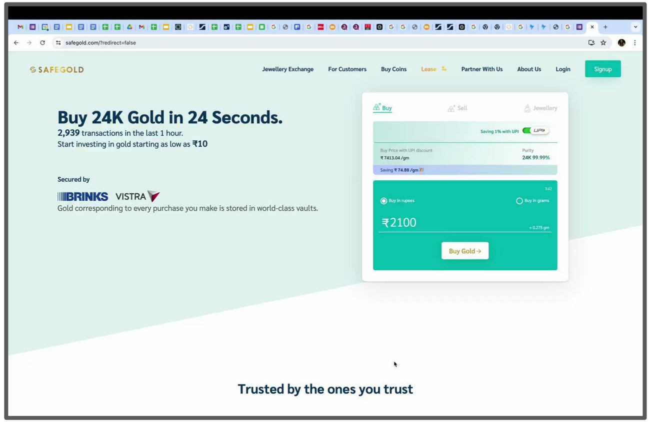
Industry Key Players and Market Share Analysis

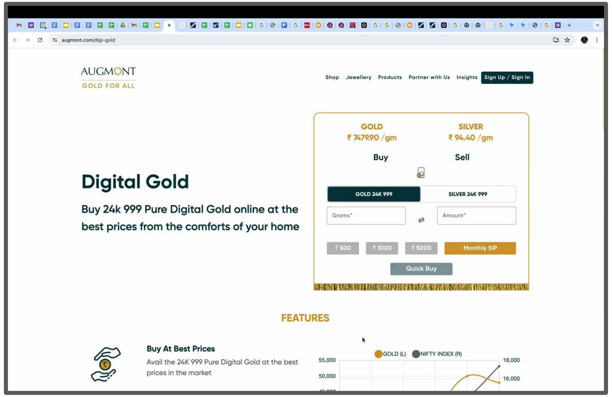
MMTC - PAMP, Augmont and SafeGold



MMTC - PAMP

SafeGold





Augmont

Holding Period: All these major vendors have a holding period of up to five years, after which you are required to either sell the gold or convert it into physical gold

https://www.mmtcpamp.com/digital-gold

Platforms - Competitors

Understanding Competitions' Target Audience - Platforms

Competition	Target Audience	Motivation
PhonePe	Urban and semi-urban wallet/UPI users	Secure investments, seamless integration with existing digital services
PayTm	Young professionals, tech-savvy UPI users	Convenience and savings goals
Amazon Pay	Online shoppers, tech-savvy consumers	Convenience, rewards, and integration within Amazon's marketplace
Jar	Millennial investors, tech enthusiasts	Potential for high returns, portfolio diversification, and technological appeal
Navi	Young, digital-first investors, PL users	Transparency, low costs, and accessibility to investment opportunities
Gullak	Retail investors, savings-oriented users	Security of investments, easy access to gold investments

Industry Key Players and Market Share Analysis

PhonePe (SafeGold, CaratLane, MMTC-PAMP)

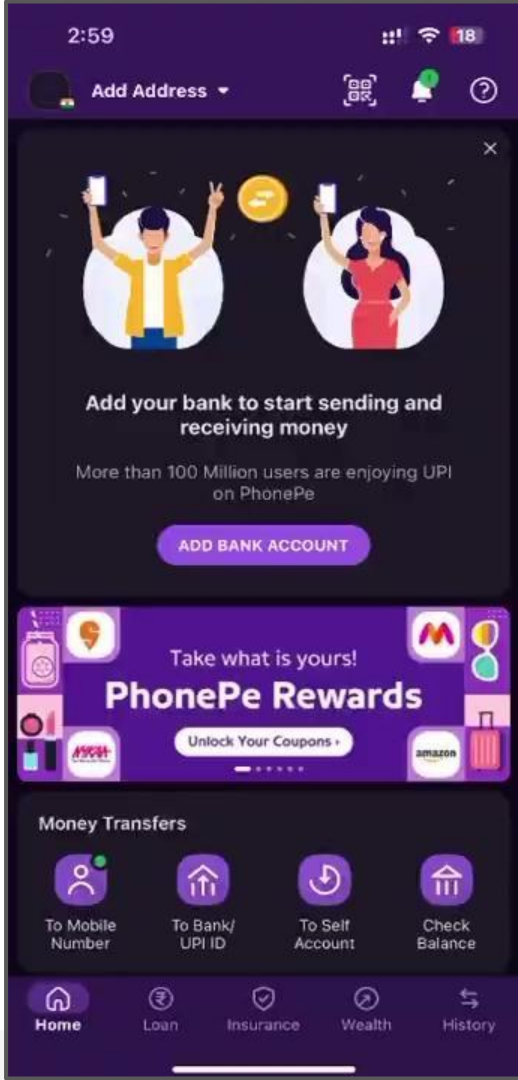
Digital Gold positioning and KSPs - Super easy way to order certified 24K Gold digitally.

- 99.99% Purity
- Buy/Sell 24*7
- Insured Storage
- Wealth Protection

Minimum amount - SIPs start with Rs.100 while **One time purchase starts with Rs.1**

Purity - 99.99% which is certified **24K gold**

Preset options - They provide preset options for both SIPs and One Time purchase.

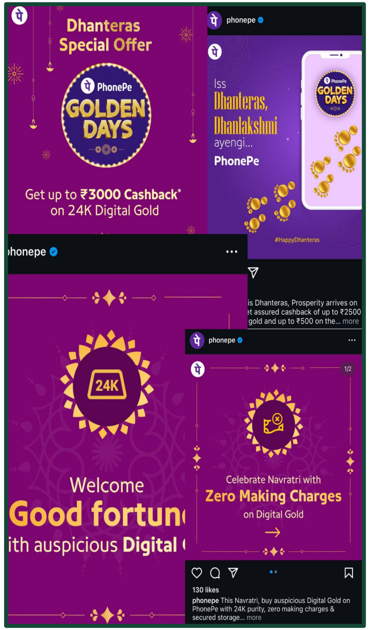


Industry Key Players and Market Share Analysis

Media Mix/ Social for competition - PhonePe

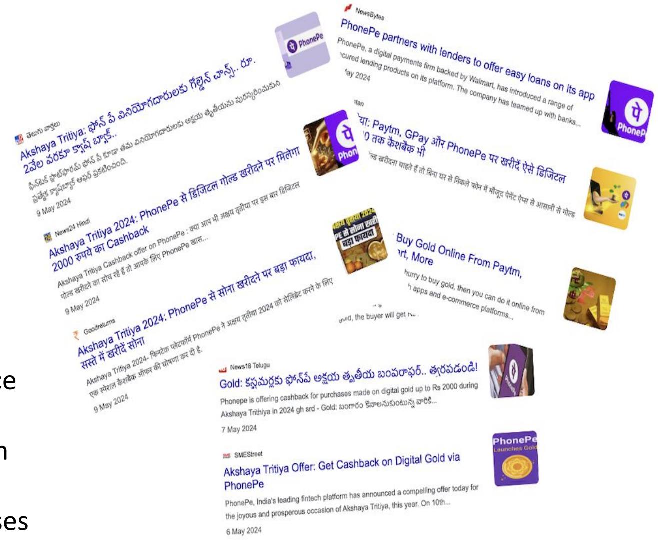
Social Media

News presence



They are active on all of their social media forums - Facebook, Instagram, X, etc. But they post about Digital Gold only around the time of Dhanteras and Diwali every year.

They have occasional news presence on channels like TOI, TimesNow, CNBC, etc. They also have articles in Hindi and Telugu during Akshay Tritiya. The news also majorly focuses on offers during festivals.



Industry Key Players and Market Share Analysis

Paytm (MMTC-PAMP)

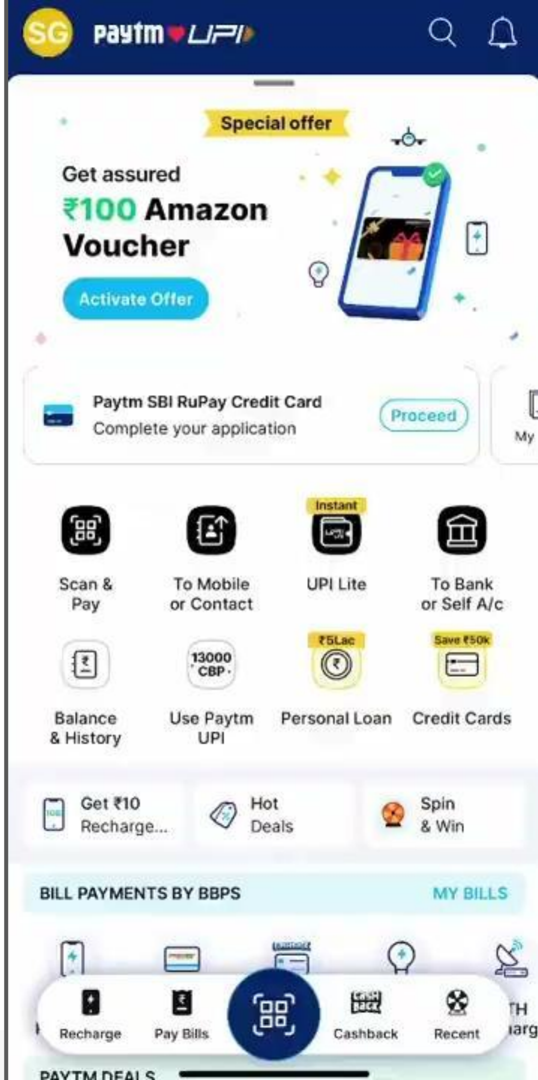
Digital Gold positioning and KSPs- Paytm offers features such as investment tracking, flexible purchase options and secure storage.

- Sell Gold
- Manage SIP
- Get your Gold delivered

Minimum amount - Both SIPs and One time purchases can start as low as **Rs.1**

Purity - 99.99% which is certified **24K gold**

Preset options - They provide preset options for both SIPs and One Time purchase.



Amazon Pay (SafeGold)

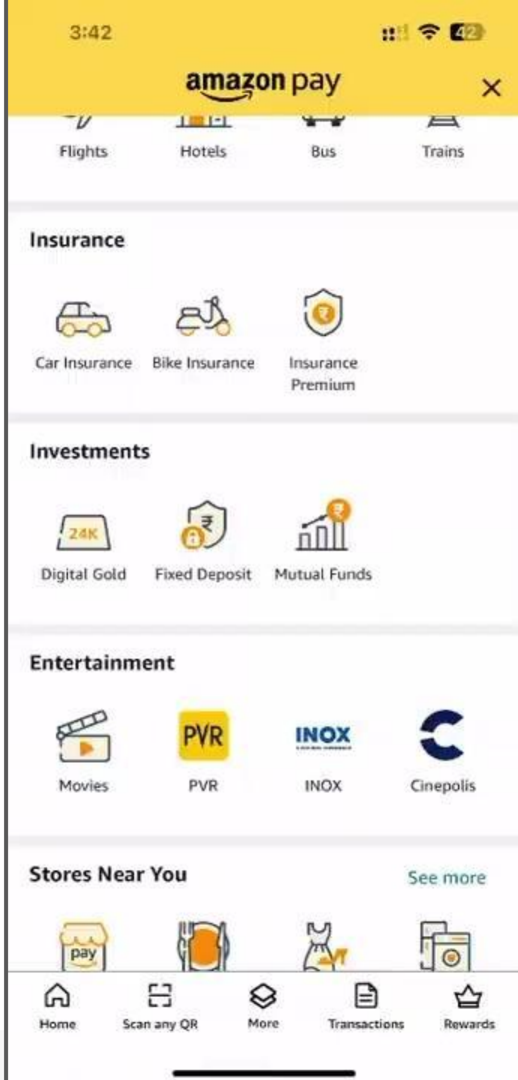
Digital Gold positioning - By making it available on the Amazon app's Amazon Pay Page. This positioning emphasizes the convenience and accessibility of owning gold digitally through the Amazon app.

- Easily Accessible, 24/7
- Invest any time starting Rs5, sell anytime
- Government certified 24k Gold
- Hedge against inflation

Minimum amount - **SIPs start at Rs.100** while **One Time starts at Rs.5**

Purity - **24 karat gold** of **99.5% purity** or higher.

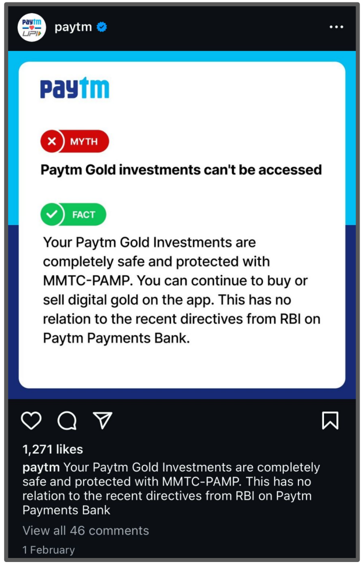
Preset options - Amazon Pay **DOES NOT OFFER** preset options.



Industry Key Players and Market Share Analysis

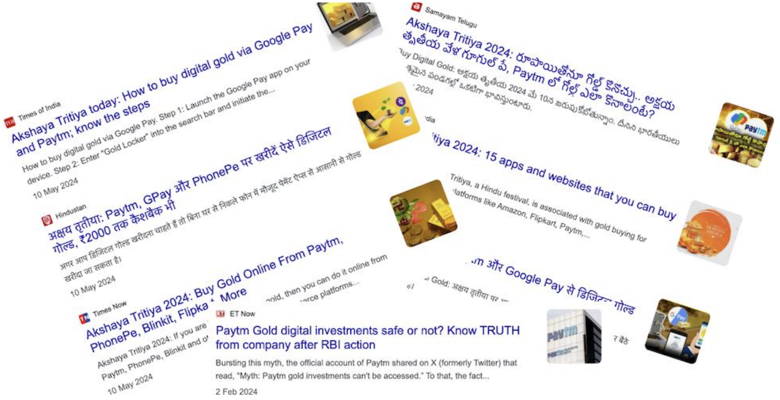
Media Mix/ Social for competition - Paytm and Amazon Pay

Social Media



Paytm is not at all active on any SM platform about Digital Gold

News presence



Paytm is frequently mentioned in news articles which suggest top apps to invest in Digital Gold. But they do not have any other news presence.

Paytm also faces backlashes and trust issues in digital gold after the recent RBI action.

Industry Key Players and Market Share Analysis

Jar (SafeGold)

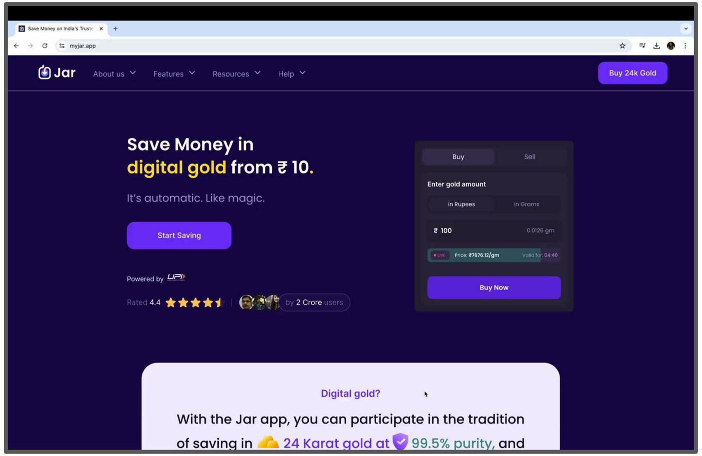
Digital Gold positioning - Jar positions its digital gold product as a convenient, secure, and accessible way for users to invest in gold digitally..

- Automated System
- Many ways to save
- Withdraw anytime

Minimum amount - Daily, Weekly and Monthly SIPs start at Rs.1 while **One Time starts at Rs.10**

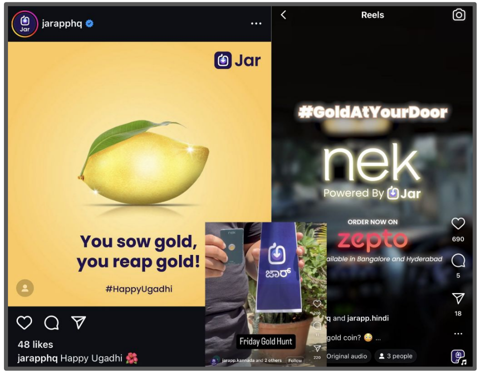
Purity - 24 karat gold of **99.5% purity**.

Preset options - Jar **DOES NOT OFFER** preset options.



Media Mix/ Social for competition - Jar

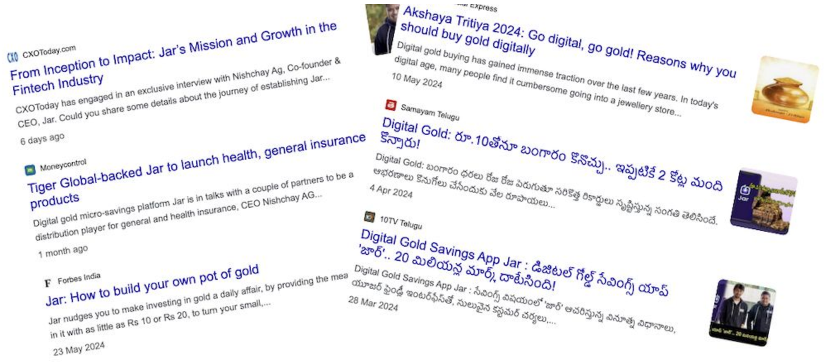
Social Media



Jar regularly posts and shares reels on digital Gold.

Partnerships - It has recently been promoting its partnership with Zepto to send gold instantly to your doorstep. Using the hashtag #GoldAtYourDoor

News presence



Jar has moderate news presence about Digital Gold. They too, similar to phonepe, have news articles in Hindi and Telugu during festivals.

Industry Key Players and Market Share Analysis

Navi (Augmont and SafeGold)

Digital Gold positioning - By combining the benefits of ownership with the potential for passive income.

- Easily Accessible, 24/7
- Invest any time starting Rs5, sell anytime
- Government certified 24k Gold
- Hedge against inflation

Minimum amount - SIPs start at Rs.100 while **One Time starts at Rs.10**

Purity - 24 karat gold of **99.9% purity.**

Preset options - Navi offers preset options.

Industry Key Players and Market Share Analysis

Gullak (Augmont)

Digital Gold positioning - They aim to attract a diverse range of customers, from those looking for a simple savings plan to those seeking a more traditional investment in gold.

- Gold is bought online “Securely via Augmont”
- Equal value of gold is stored in vaults “IDBI trustee”
- You get the certificate in your Gullak app
- Sell it Instantly, Within your budget, Pause anytime, Edit amount.
- It’s not magic, its maths - gives you 2x returns than FDs

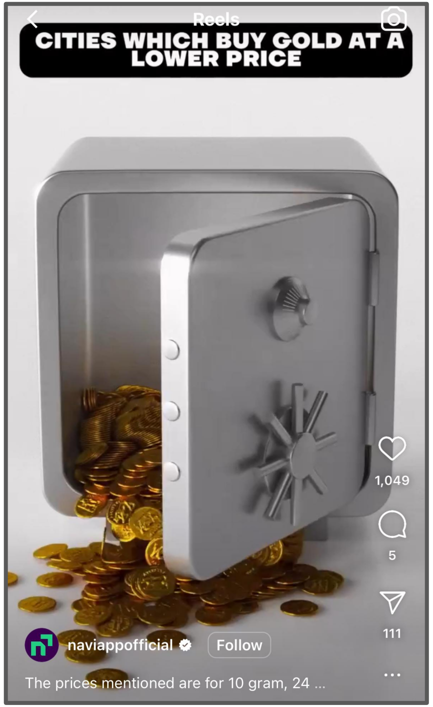
Minimum amount - Daily SIPs start at Rs.10 while weekly and monthly starts at Rs 100. One time purchases start at Rs 10.

Purity - 24K 99.99% digital gold.

Preset options - Does not offer preset options

Industry Key Players and Market Share Analysis

Media Mix/ Social for competition - Navi and Gullak



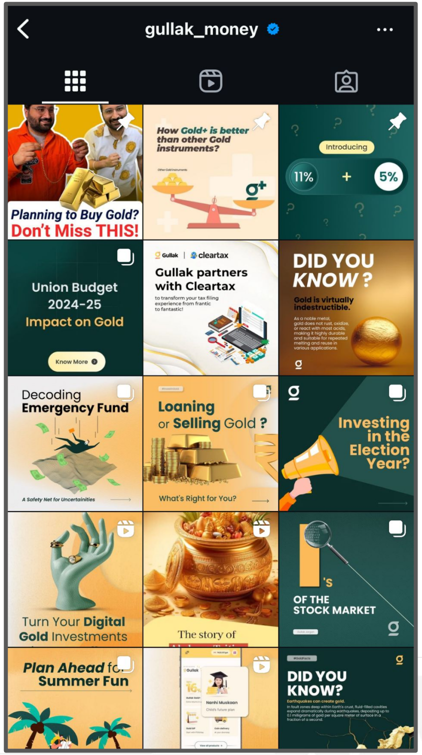
Navi

Navi is not active on Social media.

Gullak

Gullak regularly posts about Digital gold and educational content on Gold.

As their main product is Gold+ they majorly focus on it.



Navi and Gullak do not have any news presence on digital gold.

Industry Key Players and Market Share Analysis

Terminologies used by major vendors and platforms

MMTC - PAMP - Digital Gold.

Augmont - Digital Gold / DigiGold

SafeGold - 24k Gold

CaratLane - eGold

PhonePe - 24k Gold

Paytm - Paytm Gold

Amazon Pay - Digital Gold

Jar - Digital Gold

Navi - Digital Gold

Gullak - Digital Gold

6. Industry SWOT Analysis

Industry SWOT Analysis

SWOT Analysis

By addressing these factors, moneyview can capitalize on their strengths and opportunities while mitigating weaknesses and threats to sustain growth and gain investor confidence.

Strengths

S

- Accessibility and Convenience
- Security and Transparency
- Liquidity
- Portfolio Diversification

Weaknesses

W

- Lack of Awareness
- Reliance on Technology
- Volatility
- Trust issues

Opportunities

O

- Market Expansion
- Innovative Features
- Growing Financial Literacy
- Growing Technological Inclination

Threats

T

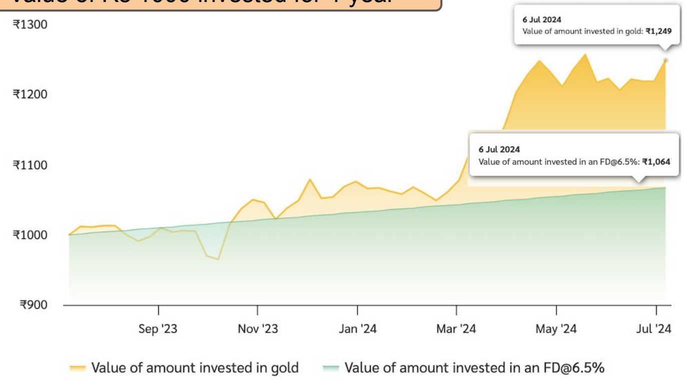
- Regulatory Changes
- Competition
- Economic Factors
- Technological Risks

7. Cost Economics and Comparison

Cost Economics and Comparison

Cost Structure of Digi Gold vs FD

Value of Rs 1000 invested for 1 year



1.17x better returns

Value of Rs 1000 invested for 2 years

1.26x better returns

Value of Rs 1000 invested for 5 years

1.54x better returns

Comparison with Traditional Gold Investments

To provide a detailed cost comparison of digital gold vs. physical gold in India over the past 5 years, we need to consider the following*:

1. **Price Trends**: Historical prices of gold in INR.
2. **Premiums and Fees**: Costs associated with buying, storing, and selling both physical and digital gold.
3. **Returns**: Annualized returns over the specified period.

I will gather the historical gold prices and calculate the differences, including the premiums and fees for both types of gold investments.
Let's start with the historical gold prices and then analyze the associated costs.

Historical Gold Prices (2019-2024)
Let's use data from the last 5 years:

Date	Price per gram (INR)
2019-07-01	3,300
2020-07-01	4,400
2021-07-01	4,800
2022-07-01	4,800
2023-07-01	5,200
2024-07-01	5,600

Physical Gold (in form of coins/bars - jewellery not included as they charge additional making charges)

1. Premiums: Approximately 5-10% over spot price.
2. Storage Costs: Typically 0.1-1% per year.
3. Insurance Costs: Variable, but let's assume 0.5% annually.

Digital Gold

1. Transaction Fees: Approximately 2-3% for buying and selling.
2. Storage Fees: Typically lower, around 0.5% per year.

*20.8% tax on sale of digital gold and physical gold

Cost Economics and Comparison

Comparison with Traditional Gold Investments

Returns on Physical Gold

1. **Buying Cost** (2019-07-01):
Spot Price: INR 3,300
Premium: 7.5% (average)
Total Cost: 3,300 * 1.075 = **INR 3,547.50 per gram**

2. **Selling Price** (2024-07-01):
Spot Price: INR 5,600
Selling Premium: 0%
Storage Costs for 5 years: 1% (average) annually = 5%
Insurance Costs for 5 years: 0.5% annually = 2.5%
Total Returns: 5,600 * (1 0.05 0.025) = **INR 5,096 per gram**

3. **Net Returns**:
Buying Cost: INR 3,547.50
Selling Price: INR 5,096
Net Returns: (5,096 - 3,547.50) / 3,547.50 * 100 ≈ **43.65%**

Returns on Digital Gold

1. **Buying Cost** (2019-07-01):
Spot Price: INR 3,300
Transaction Fee: 2.5% (average)
Total Cost: 3,300 * 1.025 = INR 3,382.50 per gram

2. **Selling Price** (2024-07-01):
Spot Price: INR 5,600
Transaction Fee: 2.5% (average)
Storage Costs for 5 years: 0.5% annually = 2.5%
Total Returns: 5,600 * (1 0.025 0.025) = INR 5,152 per gram

3. **Net Returns**:
Buying Cost: INR 3,382.50
Selling Price: INR 5,152
Net Returns: (5,152 - 3,382.50) / 3,382.50 * 100 ≈
52.34%

This means digital gold provided approximately **8.69%** higher returns than physical gold over the last five years in India. The lower transaction and storage fees associated with digital gold contributed to its higher net returns.

Daily vs Monthly vs Lump sum investment

To compare the returns on digital gold in India when investing daily, monthly, or as a lump sum, we need to use a consistent time frame and assume a constant rate of return. Let's assume the following:

Investment period: 1 year (365 days).
Assumed annual return on gold: 8% (0.08)
Total investment amount: ₹36,500.

1. **DAILY INVESTMENT -**

If you invest daily, the total investment amount of ₹36,500 would be divided by 365, resulting in a **daily investment amount of ₹100**.

- Daily investment amount: ₹100
- Number of investments: 365
- Daily return: (1 + (0.08/365)) - 1 = 0.0002192

Using the formula for the future value of a series of daily investments:
FV = P *{((1 + r)^n - 1)/(r)}

Where:
(P = 100) (daily investment)
(r = 0.0002192) (daily return rate)
(n = 365)

FV (Daily) = 100*{((1 + 0.0002192)^365 - 1)/0.0002192} = **INR 37,995.4** after 1 year

2. **MONTHLY INVESTMENT**

If you invest monthly, the total investment amount of ₹36,500 would be divided by 12, resulting in a **monthly investment amount of ₹3,041.67.**

- P - Monthly investment amount: ₹3,041.67
- n - Number of investments: 12
- r - Monthly return: ((1 + (0.08 / 12) - 1) = 0.006434

FV (Monthly) = 3041.67 * {((1+0.006434)^12 - 1) / 0.006434 = **INR 37,868.52** after 1 year

3. **LUMP SUM INVESTMENT**

If you invest the entire ₹36,500 as a lump sum at the beginning of the year:

- P - Lump sum amount: ₹36,500
- r - Annual return: 8% (0.08)
- n - 1

FV (Lump sum) = 36500 * (1+0.08)^1 = **INR 39,420** after 1 year

Investing a fixed amount lump sum gives the best returns. Followed by investing daily. Investing monthly gives the lowest returns.

8. Conclusion

Conclusion

Way forward + Suggestions

Focus on the triggers for each TG of moneyview and align the communications accordingly.
Also, we have identified personas and their requirements. Targeting them as per that will be crucial.

Since we are only providing an option to purchase digital gold as one time purchase, we can give consumers an option to purchase gold at today's price in form of EMIs.
Keeping the consumers updated whenever the gold price goes down.

Being active on Social Media and having a decent news presence can attract more no of investors.

Add more insights to our product design and comms - explaining the benefits of investing in Digital Gold over other products.

moneyview

Thank you!